CASE STUDY

ANONYMISED | FIGURES INDICATIVE

PRE-IPO VALUATION AND LISTING MODEL

Project Cumulus | Enterprise SaaS | North America | IPO Advisory

PROJECT INFORMATION

Enterprise cloud software on a subscription model. The client is a high-growth, venture-backed SaaS business preparing for a US listing. Revenue in the last fiscal year was between USD 100 million and USD 150 million, and growth was above 100 percent.

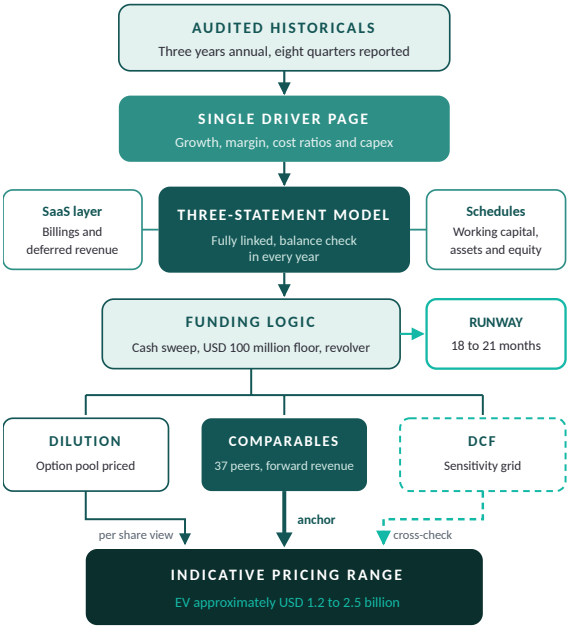
The business was still loss-making, because sales and marketing spend was above revenue. The planned primary raise was USD 200 million to USD 250 million.

CLIENT REQUIREMENT

A valuation it could defend ahead of the listing, and a clear view of what the IPO proceeds would actually fund:

- An integrated model built from audited historicals, giving management, the board and the bookrunners a single base to work from
- An indicative valuation range for pricing discussions, at a stage when the company had no earnings to value
- A clear picture of dilution from the existing option pool before new shares were set
- How long the IPO proceeds last under the growth plan, and what is needed after that

THE MODEL ARCHITECTURE



IPO CASE STRUCTURE

01 Share capital and dilution

Roughly 90 million basic shares and an option pool of roughly 18 million. The pool was valued with Black-Scholes, using volatility taken from the filing, at approximately USD 300 million, so the overhang is explicit.

02 Method one, DCF cross-check

A 15 percent cost of capital and 5 percent terminal growth, with a sensitivity grid across discount rates of 12 to 25 percent and growth rates of 1 to 10 percent. Free cash flow stays negative through the whole five-year forecast, so the DCF was shown as a cross-check and not used for pricing.

03 Method two, trading comparables, the pricing anchor

A peer set of 37 listed SaaS and cloud companies, analysed on:

- EV to revenue, current and forward
- Revenue growth
- Gross margin, plus sales and marketing and research and development intensity
- Free cash flow margin and customer retention
- Multiples above 75 times or negative treated as not meaningful

04 Valuation cases

Pessimistic, base and optimistic cases at 5.0, 7.1 and 10.0 times forward revenue. The base case uses the peer mean forward multiple. The peer median of approximately 6.3 times is shown alongside it as a reference point.

OUTCOME

1 Indicative valuation range

Enterprise value of approximately USD 1.2 billion to USD 2.5 billion, with a base case of approximately USD 1.8 billion. This gave management and the bookrunners a defensible range for pricing discussions.

2 Runway made explicit

On the base plan, IPO proceeds and existing cash fund approximately 18 to 21 months of operations. After that, the plan needs further capital or a faster move to profitability. Management could prepare its answer before investors asked.

3 Pricing logic

The work showed clearly why revenue multiples, and not discounted cash flow, should anchor the price for a pre-profit SaaS issuer.

4 Dilution clarity

The option overhang was quantified before new shares were set, so the board could see the effect on the value of each existing share.

WHAT THE CLIENT VALUED MOST

The structure of the model and of the IPO case. Every operating line traces back to a single driver page, so the forecast, the cash runway and the price range all follow from one set of assumptions. The IPO case set out its methods honestly: it showed why the DCF could not carry the valuation and why the comparables could. It also put dilution and the post-IPO funding gap on the table in plain numbers. That gave the board one consistent story to take into the listing process.

END RESULT

An integrated IPO model and valuation case gave the client a defensible pricing range, a clear view of dilution and an honest runway analysis ahead of the listing.